

Performance Pay at Safelite Auto Glass



Incentives, worker risk, and the 30% guarantee decision

Why does an eight-hour day produce only 2.5 glass units?

A Low worker effort

B Poor routing and scheduling

C Parts and warehouse errors

D Demand and travel constraints

Vote first. Then name one fact that would change your answer.

A national company inside a fragmented industry

500

stores across the United States

3,000+

employees, including about 1,000 installers

44%

of repairs and installations completed through mobile service

Safelite



12%

Harmon Glass



6%

ASK THE ROOM

20 sec

Does a national chain make worker effort easier or harder to monitor?

OPERATING REDESIGN

The market system made output measurable



Economic point: measurement improved at the same time that production became more interdependent.

ASK THE ROOM

20 sec

Where could one mistake stop a productive technician from finishing a job?

THE PRODUCTIVITY PUZZLE

2.5 units account for only part of the workday

Illustrative allocation of an eight-hour day

1 windshield often took under 1 hour to install

2.5 hours installing

5.5 hours: travel, waiting, errors, breaks, and low effort

The 5.5 hours are not automatically waste. The case does not report a clean time study.

2.5

average glass units per technician per day

Discussion

Which missing activity creates value, and which one signals avoidable slack?

The principal can observe output more easily than effort

Measured output
= effort
+ operating system
+ demand
+ luck

1

Moral hazard: hourly pay weakens the immediate return to extra effort.

2

Noisy measurement: units per day mix worker choices with factors the worker cannot control.

3

Contract design: stronger incentives improve effort but shift more risk to workers.

ASK THE ROOM

30 sec

If you can count installations, why can effort still be hard to observe?

PIECE-RATE MECHANISM

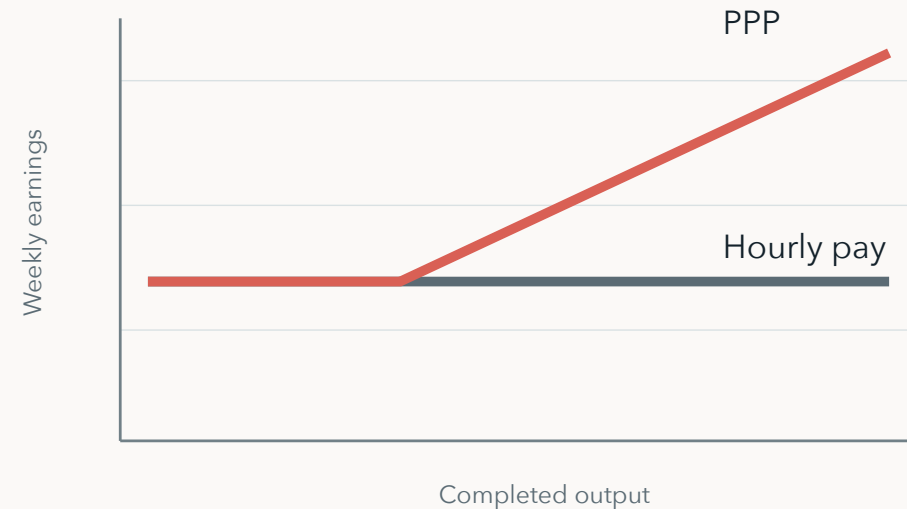
PPP rewards extra output above the guarantee

Hourly pay

An extra installation changes pay little in the current week.

Performance pay

Above the guarantee, an extra installation adds to take-home pay.



ASK THE ROOM

30 sec

When would one more installation add nothing to this week's paycheck?

A piece rate sits above a changing weekly guarantee

Weeks 1-12

Safelite pays the higher of piece earnings or the technician's former hourly wage.

After week 12

Safelite lowers the guarantee by about 30% and still pays the higher of PPP earnings or the new floor.

Weekly pay = max(piece earnings, guarantee)

Incentive effect

The lower floor makes weak output more costly to the technician.

Insurance effect

The lower floor exposes family income to demand and operational shocks.

ASK THE ROOM

20 sec

Does a lower guarantee change the piece rate or the point where it starts to matter?

A five-unit day could produce \$608.96 in a sample week

Component	Weekly value
Daily glass mix, five days	\$490.00
Other installation work	\$112.51
Items sold	\$6.45
Base performance pay	\$608.96

\$15.22

hourly equivalent at 40 hours

The example assumes five glass units per day, twice the reported average.

ASK THE ROOM

30 sec

What must be true for the advertised \$15.22 per hour to be realistic?

Who controls each source of lost output?

Technician

Effort and pace
Using the manifest
Checking parts before departure

Safelite system

Wrong glass supplied
Routing and scheduling
Available job volume

Shared or external

Customer absent
Weather
Travel conditions

Prompt: Which factor should reduce a technician's pay, and which factor should trigger an operational fix?

High-powered incentives trade insurance for effort

Safelite bears more risk

- Income stays stable when demand falls
- Weak marginal effort incentives
- Company can pool shocks across markets

Technician bears more risk

- Pay responds quickly to output
- Strong reason to hustle and prevent delays
- Income falls after external or system shocks

Optimal incentive intensity falls when performance measures become noisier or workers dislike income risk more.

ASK THE ROOM

20 sec

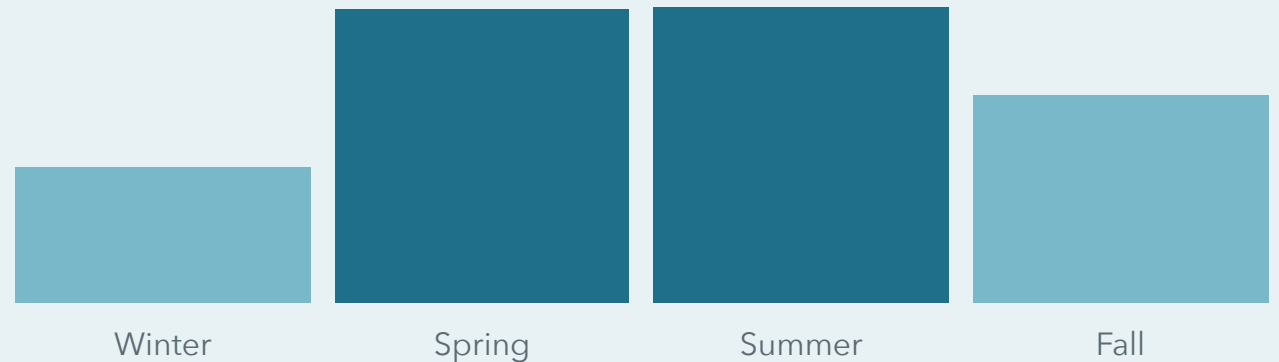
Who can absorb a week of bad luck more easily: Safelite or one technician?

Seasonal demand makes the guarantee economically important

Industry pattern

Spring and summer bring peak demand and fierce competition for technicians. Winter demand troughs and layoffs become common.

A rival could win an installer with only \$1 more per hour plus permission to take the truck home.



Qualitative pattern. The case gives no monthly volume series.

ASK THE ROOM

20 sec

Should the guarantee change when winter brings too few jobs?

THE DISPUTED DESIGN CHOICE

The 30% guarantee cut is large in a household budget

Former hourly wage	Former 40-hour week	Guarantee after 30% cut	New guaranteed week
\$10.00	\$400	\$7.00	\$280
\$11.00	\$440	\$7.70	\$308
\$12.00	\$480	\$8.40	\$336

Management's logic

A lower floor makes the piece rate matter when output stays low.

Technician's interpretation

Safelite cuts secure pay and asks workers to earn it back.

ASK THE ROOM
30 sec

At \$11 per hour today, would you accept PPP with a \$308 weekly floor?

Illustrative 40-hour weeks. Wage range and guarantee cut: HBS case, pp. 6 and 9. Piece rates varied by market: p. 7, Table 1 note a.

SELECTION EFFECTS

PPP changes who works at Safelite, not only how they work

More likely to stay or apply



Fast, confident technicians who expect to beat the guarantee



Workers who value upside more than income stability

More likely to leave or avoid Safelite



Lower-output technicians



Skilled but risk-averse workers with strong outside options

PPP can screen workers through decisions to join, stay, or leave. These choices reflect expected earnings, risk preferences, and outside options.

ASK THE ROOM

20 sec

Could PPP drive away a highly skilled technician?

Incentives can reward the wrong outcome

Charlie Munger: “Reward and Punishment Superresponse Tendency”

Incentives can strongly shape behavior and judgment. (*Paraphrase*)

Hanoi, 1902: rat-tail bounty

Goal: Fewer rats and less disease

Reward: Tails as evidence of dead rats

Result: Rat farming and live, tailless rats

Safelite: quantity and quality

Goal: Safe, reliable installations

Reward: Completed units and selected tasks

Risk: Rushed checks or neglected service

Discuss: What is Safelite’s “rat-tail” metric? What guardrail keeps it aligned with the goal?

ORGANIZATIONAL FIT

Manager incentives depend on store size and job design

Store class	Technicians	Time installing	Time managing	PPP eligible?
DCC / CTU or AA	Up to 30	0%	100%	No
A	3	25%	75%	Yes
B	2	40%	60%	Yes
C	2	75%	25%	Yes
D	0	100%	0%	Yes

PPP can encourage lean staffing, but a manager may underinvest in coaching or staffing if installations pay more visibly.

ASK THE ROOM

20 sec

Should a store manager's bonus depend on personal output or the team's output?

Design a pay rule for four shocks

Wrong glass

The warehouse supplied the wrong part. The technician caught it before departure.

Customer absent

The technician arrived on time, but the customer was not there.

Winter demand

Dispatch has only three jobs available for the day.

Repeat repair

A prior installation failed and requires rework.

Choose: full piece credit, partial credit, guarantee only, or a quality penalty. Defend one rule.

Five questions on incentive economics

1. Under hourly pay, what happens to immediate pay after one extra installation?

3. Who bears more winter demand risk after the guarantee falls 30%?

5. Paying for quantity while quality stays hard to measure creates what concern?

2. A wrong part supplied on 10%-20% of jobs creates what contract problem?

4. If low-output workers leave after PPP, what economic effect raises average productivity?

DECISION COMPARISON

Three contracts solve different problems

Criterion	Keep hourly pay	PPP as designed	Modified PPP
Effort incentive	Weak	Strong	Strong
Income insurance	High	Low after week 12	Targeted
Turnover risk	Low	High	Moderate
Quality protection	Indirect	Unclear	Explicit guardrails
Operational accountability	Weak	Worker pressure	Shared scorecard
Simplicity	High	Moderate	Lower

Technicians reported some DCC managers "didn't hustle" and assigned jobs "equitably" rather than to the fastest worker, a second moral-hazard problem on the dispatch side that PPP alone does not fix.

ASK THE ROOM

20 sec

Which rating in this table would you challenge?

A POSSIBLE REDESIGN

Modified PPP can preserve the slope and improve the floor

Guarantee	Reduce the floor gradually, or vary it by season and the volume of jobs Safelite makes available.
Controllable credits	Give partial credit for verified customer absences and warehouse errors when the technician followed process.
Quality gate	Pay piece rates only when rework, safety, and complaint measures stay within an acceptable range.
Pilot scorecard	Track output, total labor cost per unit, quality, earnings dispersion, quits, and customer service by market.
Separate measurement	Mobile technicians face travel and routing variance that in-store technicians do not. Consider a separate baseline or partial credit for verified travel delays.

What should Safelite do now?

A

Roll out PPP as designed

Keep the 30% guarantee cut after 12 weeks.

Benefit: Faster rollout of the existing incentive plan.

Tradeoff: More worker income risk and possible turnover.

B

Modify and roll out PPP

Retain piece rates with risk and quality protections.

Benefit: Better alignment with factors workers control.

Tradeoff: More design, measurement, and administration costs.

C

Keep hourly pay

Address possible operating bottlenecks first.

Benefit: Stable pay for a given number of hours.

Tradeoff: Weak immediate pay incentives for extra output.

Vote, then defend: What is your strongest economic reason, and what evidence could reverse your choice?